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The Minister of Social Affairs and Employment
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Date

March 26, 2024

Our reference

z2024-000192

Your letter dated

December 22, 2023

Your reference

2023-0000593364

Subject

Legislative assessment draft for amendment of the Decree on the allocation of labor by intermediaries
Dear Ms. Van Gennip,

In your letter dated December 22, 2023, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft for the design decision of [...] to amend the Decree on the allocation of labor by intermediaries in connection with the introduction of a licensing requirement for the provision of labor (hereinafter: the draft).

The AP has several comments on the draft.

Main points

- The draft stipulates that the Dutch Labor Inspectorate (hereinafter: the Labor Inspectorate) and the Minister of Social Affairs and Employment (SZW) are authorized to further process data. Further processing is only possible in certain cases, which necessitates clarification of the further processing.
- The draft states that the Minister of SZW maintains a register of lenders and inspection institutions. The duration of the retention period concerning the data that are removed from the register must be substantiated.
- For the other data processing activities, retention periods (possibly in the form of maxima) must also be established and substantiated. Alternatively, it must be indicated why specification is not possible or desirable.
- The draft mentions a number of security measures for which the Foundation for Compliance with the Collective Labor Agreement for Temporary Workers (SNCU) and the Foundation for Standardization of Flexible Housing (SNF) must be responsible. These measures must be removed or more concrete measures must be proposed and substantiated.
- If more concrete security measures are established, they must also apply to the inspection institutions. Alternatively, the reason for not doing so must be indicated.

Scope of the draft

Pursuant to the legislative proposal for the admission of the provision of labor, companies may only provide labor (lenders) if they have been admitted by the Minister of SZW or are exempt from the licensing requirement. Furthermore, companies that utilize provided labor (borrowers) may only do so from admitted or exempt lenders. This licensing system aims to improve the position of provided labor (particularly labor migrants) and to ensure a level playing field for all borrowers and lenders.

To be admitted, lenders must meet a number of conditions. One of the conditions is that they demonstrate compliance with a framework of standards at the time of application and subsequently on a periodic basis. The framework of standards consists of requirements related to compliance with labor laws, social security laws, and tax laws. Private inspection institutions designated by the Minister of SZW periodically monitor compliance with the framework of standards.

The Minister of SZW maintains a register of lenders and inspection institutions.

The Labor Inspectorate supervises the obligations for borrowers and lenders.

The present draft contains a further elaboration of the licensing system, including the data exchanges between the involved authorities. The involved authorities are identified as: the Minister of SZW, the Labor Inspectorate, the Tax Authority, the Social Insurance Bank, the inspection institutions, municipalities, the SNCU, and the SNF.

1 Proposal for a law to amend the Decree on the allocation of labor by intermediaries and other laws in connection with the introduction of rules for granting admission for the provision of labor (Law on the admission of the provision of labor), Parliamentary Papers II 2023/24, 36 446, no. 2.

2 The tasks are carried out under the responsibility of the Minister of SZW by an admitting authority.

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Legislative Assessment

1. Further Processing

The draft stipulates that the Labor Inspectorate is authorized to further process the data it receives in connection with the supervision of compliance with the admission system, insofar as such data is necessary for the supervision of compliance with labor laws.³

It also states that the Minister of Social Affairs and Employment (SZW) is authorized to further process the data it processes in connection with Articles 44 and 85 of the Act on the Terms of Employment of Posted Workers in the European Union (WagwEU), insofar as such data is necessary for the implementation of the admission obligation.⁶

Processing for another purpose is only permitted under the GDPR if there is:⁷

- a. consent of the data subject;
- b. a provision of Union law or national law that constitutes a necessary and proportionate measure in a democratic society to safeguard the objectives referred to in Article 23, paragraph 1, of the GDPR; or
- c. a compatible further processing.

Regarding the further processing by the Labor Inspectorate, the explanatory memorandum to the draft states that the supervision of labor laws aims to protect workers and ensure the correct and timely payment of wage taxes. Supervision of labor laws promotes a level playing field by reducing the opportunities for malicious actors to undermine the position of well-meaning competitors through non-compliance with legislation. Compliance with labor laws is also required for the same reasons to be included in the normative framework, according to the explanatory memorandum.⁸

Regarding the further processing by the Minister of SZW, the explanatory memorandum states that compliance with Article 8 of the WagwEU is part of the normative framework.⁹

Since the draft contains explicit provisions on further processing, it appears to rely on the aforementioned option b. However, the explanatory memorandum does not indicate that the conditions set for this are met (necessary and proportionate measure to safeguard the objectives referred to in Article 23, paragraph 1, of the GDPR).

3 The proposed Article 2:7, paragraph 2, of the Decree on the Allocation of Labor by Intermediaries.

4 This article contains the data processing that arises from the administrative cooperation between member states and between Dutch administrative bodies and supervisory authorities in the supervision of compliance with the rules regarding working conditions and labor conditions applicable to posted workers under the Posting Directive, in order to provide these workers throughout the European Union with the same minimum level of protection.

5 Under this article, the service provider who posts a worker to the Netherlands must report this to the Minister of SZW.

6 Article II of the draft.

7 Article 6, paragraph 4, of the GDPR.

8 Explanatory memorandum, pp. 25-26.

9 Explanatory memorandum, p. 57.

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On the other hand, the explanatory memorandum seems to imply that option a is applicable. The relationship between the purposes for which the personal data was collected and the purposes of the further processing is one of the factors to be considered when determining whether there is compatible further processing. However, the GDPR mentions other factors that must also be taken into account, namely:¹⁰

- the context in which the personal data was collected, particularly regarding the relationship between the data subjects and the data controller;
- the nature of the personal data, particularly whether special¹¹ or criminal¹² data is being processed;
- the potential consequences of the further processing for the data subjects;
- the existence of appropriate safeguards, including possibly encryption or pseudonymization.

The Data Protection Authority (AP) concludes that it is advisable to clarify in the explanatory memorandum to the draft on which option(s) the proposed further processing by the Labor Inspectorate and the Minister of SZW will take place. And to substantiate the applicability of those option(s) further.

2. Retention Periods

The draft law on the provision of labor determines that rules regarding the retention period of the data will be established by or pursuant to a general administrative measure.¹³

The draft specifies this by establishing the retention periods for the data that are removed from the register and provided to the SNF and the SNCU.

The GDPR stipulates that personal data may not be retained longer than is necessary for the purposes for which the personal data is processed.¹⁴

2.1 Retention Period for Data from the Register

The retention period for the data that are removed from the register is set at five years.¹⁵ According to the explanatory memorandum to the draft, this data may still be necessary for certain purposes, such as supporting legal proceedings.¹⁶

This merely indicates that it may be useful to retain this data for a longer period, but the necessity of the length of the retention period has not been demonstrated.

¹⁰ Article 6, paragraph 4, of the GDPR.

¹¹ In accordance with Article 9 of the GDPR.

¹² In accordance with Article 10 of the GDPR.

¹³ The proposed Article 14b, paragraph 5, under a, of the Act on the Allocation of Labor by Intermediaries.

14 Article 5, paragraph 1, under e, of the GDPR.

15 The proposed Article 1b:12, paragraph 4, of the Decree on the Allocation of Labor by Intermediaries.

16 Explanatory memorandum, p. 41.

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The AP concludes that it is advisable to substantiate the length of the retention period regarding the data that is removed from the register.

2.2 Other retention periods

The draft does not contain retention periods, other than those concerning the data that is removed from the register, and which are provided to the SNF and the SNCU.

A general norm-setting, such as the GDPR provision regarding the retention period, means that it must be specified for specific data processing activities. The AP considers it desirable, from the perspective of legal certainty, that the legislator determines the retention period when making assessments in individual cases is not appropriate and a logical retention period does not clearly arise from the context.¹⁷

Moreover, the delegation provision in the legislative proposal for the provision of labor through intermediaries does not indicate that this provision only relates to the register, the SNF, and the SNCU. The relevant article in which the delegation provision is included concerns the data exchange between, among others, the Minister of SZW, the SNF, the SNCU, and the inspection bodies.

The AP concludes that it is advisable to include retention periods (possibly in the form of maxima) for the other data processing activities in the decision and to substantiate this in the explanation. Or to substantiate that specification is not possible or desirable.

3. Security measures

The draft stipulates that the SNF and the SNCU are responsible for technical and organizational measures that at least include the following subjects:

- a. measures aimed at persons working for the agency;
- b. measures aimed at access to buildings and spaces where the data and information are present;
- c. measures aimed at the management of the data, including measures aimed at technical security against unauthorized digital access to the stored data and information;
- d. measures in case the confidentiality regarding the mentioned data and information has been compromised;
- e. measures to prevent and handle emergencies.¹⁸

The GDPR stipulates that personal data must be processed in such a way, through the implementation of appropriate technical or organizational measures, that a suitable level of security is guaranteed, and that they are protected against unauthorized or unlawful processing and against accidental loss, destruction, or damage.¹⁹

3.1 Justifying and specifying security measures

In principle, the requirement for appropriate security, as referred to in the GDPR, is sufficient, and therefore no more concrete security measures need to be established in regulations. Only in certain situations, such as ensuring safe cooperation between parties, may the inclusion of more concrete security measures in regulations be advisable. It has not been substantiated that such a situation occurs here.

Furthermore, the aforementioned provision in the draft regarding the security measures to be taken is so general in nature that it adds little or no value compared to the GDPR and even seems to conflict

with the prohibition on duplication²⁰.

The AP concludes that it is advisable to delete the proposed security measures. Or to set more concrete security measures and substantiate them in the explanation of the draft. It is also important to mention that the data controller may be required under the GDPR to implement other security measures.

3.2 Other parties

The aforementioned provision in the draft regarding the security measures to be taken is only directed at the SNF and the SNCU. It is not clear why the (potentially to be included more concrete) security measures would not also apply to the inspection bodies.

The AP concludes that, if more concrete security measures are established, it is advisable to make them applicable to the inspection bodies as well. Or to provide the reason for not doing so.

Workload AP

It is likely that the draft will require the AP to make limited additional efforts. This effort has not yet been accounted for in the financing of the AP. This will need to be addressed in consultation with the Minister for Legal Protection - as the responsible party for the budget from which the AP is financed - prior to the entry into force. For this reason, a copy of this legislative assessment is sent to the Minister for Legal Protection.

19 Article 5, first paragraph, under f, of the GDPR. See also Article 32 of the GDPR.

20 As referred to in guideline 9.9 of the Guidelines for legislation.

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Disclosure

This legislative assessment will be published on the AP's website within two weeks.

Yours sincerely,

Authority for Personal Data,

Aleid Wolfsen

Chairman